economy is one in which a shortage *rapidly* generates a higher price. This yields reduced demand, and incentives to increase supply. In time, increased supply will kick in and help bring down the price.

If the government blocks the movement of the price, the responses of supply and demand will not come about. If the government forces the price to adjust slowly, the responses of supply and demand will come about slowly. These are inferior outcomes when compared with a rapid movement in the price.

Consider the rupee. Suppose there is a big change in economic conditions and a large rupee depreciation is called for. Suppose RBI decides to reduce the volatility only. As an example, suppose a movement from Rs 70 per dollar to Rs 80 per dollar is required, for the big change in economic conditions, and suppose RBI decides to 'reduce volatility' and spread out this change over ten months.

What would the consequence be? For every person, it is now efficient to sell domestic assets, take the money out of the country, and bring it back after this process is complete. A person would sell Rs 70 billion of domestic assets, convert them to $1 billion held abroad, wait out the 10 months, and bring them back as Rs 80 billion, which is a cool profit of Rs 10 billion in ten months. The authorities may try to impose capital controls which interfere with such movement of money across the border, but India is now too internationalized, and there are too many avenues through which these steps can be executed.

This is a teachable moment in unintended consequences: the policymaker thought she was reducing volatility of the rupee, but kicked off an asset price collapse in the domestic economy. The best functioning economy is one in which changes in supply and demand *rapidly* result in a change in the price. [6]